

Investors, analysts and other interested parties may access Acadian Timber Corp.'s 2026 First Quarter Results conference call and webcast on Thursday, May 7, 2026 at 1:00PM ET. Please register [here](#) or follow the link on our website at www.acadiantimber.com/presentations-webcasts, to receive your unique PIN. For those unable to participate, a recorded rebroadcast will be available until 4:00PM ET May 7, 2027.

ACADIAN TIMBER CORP. REPORTS FIRST QUARTER RESULTS

Edmundston, NEW BRUNSWICK – May 6, 2026 – Acadian Timber Corp. (“Acadian” or the “Company”) (TSX:ADN) today reported financial and operating results¹ for the three months ended March 28, 2026 (the “first quarter” or “Q1 2026”).

“Acadian delivered steady performance during the first quarter, despite challenging conditions across forest products markets,” said Malcolm Cockwell, Interim President and Chief Executive Officer. “Our team remains focused on improving our operations in Maine and unlocking the long-term, multi-use potential of our assets.”

During the first quarter, Acadian generated sales of \$23.4 million compared to \$24.8 million in the first quarter of 2025. Acadian generated \$4.8 million of Adjusted EBITDA and \$2.5 million of Free Cash Flow during the first quarter and declared dividends of \$5.3 million or \$0.29 per share to our shareholders.

Acadian’s balance sheet remains solid with \$15.0 million of net liquidity as at March 28, 2026, which includes funds available under our credit facilities.

¹ This news release makes reference to “Adjusted EBITDA”, which Acadian’s management defines as net income before interest, income taxes, fair value adjustments, non-cash cost of sales related to carbon credits, recovery of or impairment of land and roads and depreciation and amortization, and to “Adjusted EBITDA margin”, which is Adjusted EBITDA as a percentage of sales. Reference is also made to “Free Cash Flow”, which Acadian’s management defines as Adjusted EBITDA less interest paid, current income tax expense, capital expenditures excluding acquisitions of timberlands and non-cash expenditures, and mandatory debt repayments, plus net proceeds from the sale of timberlands and other fixed assets (proceeds less gains or losses). Management believes that Adjusted EBITDA, Adjusted EBITDA margin, and Free Cash Flow are key performance measures in evaluating Acadian’s operations and are important in enhancing investors’ understanding of the Company’s operating performance. Adjusted EBITDA and Adjusted EBITDA margin are indicative of the underlying profitability of Acadian’s operating segments and are used to evaluate operational performance. Free Cash Flow is used to evaluate Acadian’s ability to generate sustainable cash flows from our operations that are available for dividends, repurchases of common shares, debt reduction, acquisitions, and other capital allocation activities. Reference is also made to “net liquidity” which includes cash and cash equivalents and funds available under credit facilities less amounts reserved to support the minimum cash balance related to long-term debt. Please refer to the section entitled “Non-IFRS Measures” in Management’s Discussion and Analysis for further details.

Review of Operations

Financial and Operating Highlights

<i>(CAD thousands, except volume and per share information)</i>		
<i>Three Months Ended</i>	March 28, 2026	March 29, 2025
Timber sales and services	\$ 23,412	\$ 24,834
Adjusted EBITDA	\$ 4,778	\$ 4,679
Adjusted EBITDA margin	20%	19%
Net income	\$ 3,471	\$ 3,659
Free Cash Flow	2,473	3,010
Common shares outstanding	18,455,847	17,822,449
Per share – basic and diluted		
Net income	\$ 0.19	\$ 0.21
Free Cash Flow	0.13	0.17
Book value	19.59	19.06
Timber sales volume (000s m ³)	267.7	266.9

Revenue in Q1 2026 reflects consistent volumes compared to the same period last year. While demand for softwood pulpwood decreased relative to Q1 2025 due to an increase in available sawmill residuals in the region, the sales mix included a higher proportion of softwood sawlogs. The weighted average selling price was consistent with Q1 2025.

Operating costs and expenses decreased \$1.3 million compared to the same period last year as a result of decreased timber services activity in New Brunswick, partially offset by higher average operating costs and expenses per m³ in Maine, as well as higher selling and administration costs.

Net income for Q1 2026 totaled \$3.5 million, or \$0.19 per share, compared to \$3.7 million or \$0.21 per share during the same period last year. Lower operating income and higher interest expense were partially offset by higher non-cash fair value adjustments and lower income tax expense.

Segmented Results of Operations

New Brunswick Timberlands

Acadian's New Brunswick Timberlands business owns and manages 775,000 acres of freehold timberlands in New Brunswick, and provides management services to 1.3 million acres of Crown licensed timberlands in New Brunswick. All harvesting operations are performed by third-party contractors.

Freehold sales were \$17.8 million, consistent with the prior year period, with similar volumes and weighted average selling price, excluding biomass. Freehold variable costs per m³ were 4% higher than Q1 2025 as a result of a higher proportion of sawlogs in the product mix and longer hauling distances. Timber services activity was lower year-over-year but had a minimal impact on Adjusted EBITDA, which was in line with Q1 2025 at \$5.8 million.

Maine Timberlands

Acadian's Maine Timberlands business owns and manages 300,000 acres of freehold timberlands in Maine. Prior to January 1, 2025, all harvesting operations in Maine Timberlands were performed by third-party contractors. During Q1 2025, Acadian established its own internal harvesting operations. The transition and rationale for the relevant transactions were described in Acadian's Q1 2025 interim report dated May 7, 2025.

Freehold sales were \$3.2 million compared to \$2.4 million during the prior year period, due to timber sales volume, excluding biomass, increasing by 57% as a result of increased productivity of the internal harvesting capacity. Higher volumes were partially offset by a 10% decrease in the weighted average selling price in U.S. dollar terms, excluding biomass, due to stumpage sales in Q1 2026 that did not occur in Q1 2025, and increased roadside sales. Timber services activity increased

year-over-year as internal harvesting capacity also operated on neighbouring landowners. Freehold variable costs per m³ were 18% higher than Q1 2025, reflecting the transition towards internal harvesting operations. Adjusted EBITDA was \$0.4 million compared to \$(0.7) million in Q1 2025.

Other Businesses

Environmental Solutions leverages the ecological functions of Acadian's land and technical expertise of its team to address pressing environmental challenges, such as climate change. During Q1 2026 and Q1 2025, no carbon credits were sold. Acadian is in the process of registering additional carbon credits for sale, which is expected to occur in the second half of 2026.

Real Estate is an emerging business, which develops new sources of revenue from Acadian's land through recreational activities and leases, commercial leases, and land sales. The financial performance of Real Estate is currently included in the reported results for New Brunswick Timberlands and Maine Timberlands. As these activities are further developed, Real Estate may be reported as its own segment.

Detailed Segmented Results

The table below summarizes operating and financial results for New Brunswick Timberlands:

<i>(CAD thousands, except volume)</i>			
<i>Three Months Ended</i>		March 28, 2026	March 29, 2025
Sales (000s m ³)			
	Softwood	145.9	129.0
	Hardwood	68.9	84.1
	Biomass	10.9	26.0
	Total	225.7	239.1
Sales (\$000s)			
	Softwood	\$ 11,181	\$ 9,293
	Hardwood	6,466	8,078
	Biomass	170	423
	Total	\$ 17,817	\$ 17,794
Timber services and other		1,133	4,274
Total Sales (\$000s)		\$ 18,950	\$ 22,068
Adjusted EBITDA (\$000s)		\$ 5,772	\$ 5,892
Adjusted EBITDA margin		30%	27%

The table below summarizes operating and financial results for Maine Timberlands:

<i>(CAD thousands, except volume)</i>			
<i>Three Months Ended</i>		March 28, 2026	March 29, 2025
Sales (000s m ³)			
	Softwood	33.2	17.5
	Hardwood	8.8	9.3
	Biomass	—	1.0
	Total	42.0	27.8
Sales (\$000s)			
	Softwood	\$ 2,515	\$ 1,518
	Hardwood	720	878
	Biomass	—	26
	Total	\$ 3,235	\$ 2,422
Timber services and other		1,227	344
Total Sales (\$000s)		\$ 4,462	\$ 2,766
Adjusted EBITDA (\$000s)		\$ 405	\$ (674)
Adjusted EBITDA margin		9%	(24)%

Outlook

Sufficient contractor availability in New Brunswick is expected to continue through 2026. Production from our internal harvesting operations in Maine improved during Q1 2026. We expect to continue progressing towards our targeted production levels as well as cost structure with these operations over the rest of the year. Reflecting the typical spring slowdown and lower productivity of harvesting during the summer months, our overall harvesting activity is expected to ease during Q2.

Demand for Acadian's products is mainly driven by regional supply dynamics. Near-term sawlog demand is expected to remain stable, but pricing may be challenged until end-use markets improve. Demand and pricing for pulpwood is expected to remain at reduced levels until existing customers increase their production and new facilities that consume pulpwood as well as biomass are commissioned.

Looking through to end-use markets, near-term headwinds, such as tariffs and duties, have continued to impact most of our customers. However, most macroeconomic indicators are positive. North American interest rates have eased and the consensus forecast for U.S. housing starts is steady at approximately 1.3 million starts in 2026. Furthermore, temporary and permanent curtailments of forest products facilities in other regions of North America are expected to support the demand and pricing conditions for Acadian's customers in New Brunswick and Maine. These trends align with our conviction in the stability of the northeastern forestry sector.

Elevated fuel prices present a new challenge for Acadian's operations and our customers. Acadian's contractor agreements typically allow rate adjustments as fuel prices change, and most customer contracts provide partial recovery of fuel-related cost increases. The same structure in effect during previous fuel price spikes, such as in 2022, is still in place today, but the overall impact on Acadian and its customers will depend on broader market conditions and the duration of elevated prices.

With respect to voluntary carbon credits, demand and pricing are expected to remain stable. Issuance of the next tranche of carbon credits from Acadian's current project has been delayed due to the transition to ACR's updated Improved Forest Management protocol. The registration of additional carbon credits is anticipated in the second half of 2026, and the updated protocol is expected to improve the marketability of the resulting carbon credits. While Acadian is evaluating opportunities to develop additional projects, our focus is on the existing carbon credit project in Maine.

Quarterly Dividend

Acadian is pleased to announce a dividend of \$0.29 per share, payable on July 15, 2026 to shareholders of record June 30, 2026.

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Acadian Timber Corp. (“Acadian”) is one of the largest timberland owners in Eastern Canada and the Northeastern U.S. We own and manage 775,000 acres of freehold timberlands in New Brunswick and approximately 300,000 acres of freehold timberlands in Maine. Acadian also provides timber services relating to 1.3 million acres of Crown licensed timberlands in New Brunswick.

Our primary business is the production of softwood and hardwood sawlogs, pulpwood, and biomass by-products, sold to approximately 85 regional customers. Acadian also generates income through other operations, including Real Estate and Environmental Solutions.

Acadian’s business strategy is to maximize cash flows from its existing timberland assets through sustainable forest management and other land use activities. We aim to grow our business by acquiring additional timberland assets at value and actively manage those assets to drive improved performance.

Acadian’s shares are listed for trading on the Toronto Stock Exchange under the symbol ADN.

For further information, please visit our website at www.acadiantimber.com or contact:

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Cautionary Statement Regarding Forward-Looking Information and Statements

This News Release contains forward-looking information and statements within the meaning of applicable Canadian securities laws that involve known and unknown risks, uncertainties and other factors that may cause the actual results, performance or achievements of Acadian Timber Corp. and its subsidiaries (collectively, “Acadian”), or industry results, to be materially different from any future results, performance or achievements expressed or implied by such forward-looking statements. Forward-looking information is included in this News Release and includes statements made in the section entitled “Outlook” and without limitation other statements regarding management’s beliefs, intentions, results, performance, goals, achievements, future events, plans and objectives, business strategy, growth strategy and prospects, access to capital, liquidity and trading volumes, dividends, taxes, capital expenditures, projected costs, market trends and similar statements concerning anticipated future events, results, achievements, circumstances, performance or expectations that are not historical facts. All forward-looking statements in this News Release are qualified by these cautionary statements. Forward-looking statements involve significant risks and uncertainties, should not be read as guarantees of future performance or results, should not be unduly relied upon, and will not necessarily be accurate indications of whether or not such results will be achieved. Actual results may vary. These forward-looking statements include, but are not limited to:

- Expectations regarding the number and timing of carbon credits that will be successfully registered and available for sale. Actual credit issuances will be adjusted each reporting period based on actual harvesting, natural disturbances and other factors, as well as periodic updating for inventory and verification activities.
- Expectations regarding product demand, pricing and end use markets, including expectations for U.S. housing starts, which may be impacted by changes in interest rates, U.S. population demographics and the inventory of homes for sale. Expectations regarding product demand and pricing are based on anticipated market conditions, anticipated regional inventory levels of key customers, and the economic situation of key customers. Estimates for U.S. housing starts are based on forecasts published by major financial institutions.
- Expectations regarding future production volumes and costs which may be impacted by operational efficiency, the regional supply of skilled operators, product demand, sales pricing, fuel price volatility, and end use markets.
- Expectations regarding the impacts of escalated duties on softwood lumber and tariffs or potential tariffs levied on U.S. imports from Canada, which may include direct impacts related to changes to the price of and demand for Acadian’s products originating in Canada as well as the U.S., and indirect impacts associated with changes in the price of and demand for the products of Acadian’s key customers and the greater economy.
- Expectations regarding future contractor availability, which may be impacted by regional supply of trained contractors and changes in the demographics of the available workforce.

Other risks and factors are discussed in Management’s Discussion and Analysis for the first quarter of 2026 dated May 6, 2026, and the Annual Information Form and Management Information Circular dated March 27, 2026, and other filings of Acadian made with securities regulatory authorities, which are available on SEDAR+ at www.sedarplus.ca. Forward-looking information is based on various material factors or assumptions, which are based on information currently available to Acadian. Readers are cautioned that the preceding list of material factors or assumptions is not exhaustive. Although the forward-looking statements contained in this News Release are based upon what management believes are reasonable assumptions, Acadian cannot assure readers that actual results will be consistent with these forward-looking statements. The forward-looking statements in this News Release are made as of the date of this News Release based on information currently available to management and should not be relied upon as representing Acadian’s views as of any date subsequent to the date of this News Release. Acadian assumes no obligation to update or revise these forward-looking statements to reflect new information, events, circumstances or otherwise, except as may be required by applicable law.

Acadian Timber Corp.
Consolidated Balance Sheets

(unaudited)

<i>(CAD thousands)</i>		
<i>As at</i>	March 28, 2026	December 31, 2025
Assets		
Current assets		
Cash and cash equivalents	\$ 2,269	\$ 4,808
Accounts receivable and other assets	7,376	9,154
Inventories	3,688	3,032
	13,333	16,994
Timber	525,308	521,865
Land, roads, and other fixed assets	88,706	88,498
Intangible assets	6,243	6,256
Total assets	\$ 633,590	\$ 633,613
Liabilities and shareholders' equity		
Current liabilities		
Accounts payable and accrued liabilities	\$ 9,517	\$ 12,212
Current income taxes payable	31	1,353
Dividends payable to shareholders	5,352	5,303
Current portion of long-term debt	711	698
	15,611	19,566
Long-term debt	111,229	110,009
Deferred income tax liabilities, net	145,216	144,294
Total liabilities	272,056	273,869
Shareholders' equity	361,534	359,744
Total liabilities and shareholders' equity	\$ 633,590	\$ 633,613

Acadian Timber Corp.
Consolidated Statements of Net Income and Comprehensive Income
(unaudited)

<i>(CAD thousands, except per share data)</i>		
<i>Three Months Ended</i>	March 28, 2026	March 29, 2025
Sales	\$ 23,412	\$ 24,834
Operating costs and expenses		
Cost of sales	15,894	17,361
Selling, administration and other	3,209	2,810
Silviculture	1	242
	19,104	20,413
Operating income	4,308	4,421
Interest expense, net	(1,096)	(816)
Other items		
Fair value adjustments and other	1,664	1,554
(Loss) / Gain on sale of timberlands and other fixed assets	(8)	22
Income before income taxes	4,868	5,181
Income tax expense	(1,397)	(1,522)
Net income	\$ 3,471	\$ 3,659
Other comprehensive income		
Items that may be reclassified subsequently to net income:		
Unrealized foreign currency translation income / (loss)	898	(334)
Comprehensive income	\$ 4,369	\$ 3,325
Net income per share – basic and diluted	\$ 0.19	\$ 0.21

Acadian Timber Corp.
Consolidated Statements of Cash Flows
(unaudited)

<i>(CAD thousands)</i>		
<i>Three Months Ended</i>	March 28, 2026	March 29, 2025
Cash provided by (used for):		
Operating activities		
Net income	\$ 3,471	\$ 3,659
Adjustments to net income:		
Income tax expense	1,397	1,522
Depreciation and amortization	478	236
Fair value adjustments and other	(1,664)	(1,554)
Loss / (Gain) on sale of timberlands and other fixed assets	8	(22)
Income taxes paid	(2,309)	(2,331)
Net change in non-cash working capital balances and other	(1,102)	(2,858)
	279	(1,348)
Financing activities		
Proceeds from equipment loan	—	2,189
Mandatory debt repayments	(156)	(54)
Dividends paid to shareholders	(2,588)	(2,590)
	(2,744)	(455)
Investing activities		
Business acquisition	—	(6,510)
Additions to timber, land, roads, and other fixed assets	(81)	(2,731)
Proceeds from sale of timberlands and other fixed assets	7	423
	(74)	(8,818)
Decrease in cash and cash equivalents during the period	(2,539)	(10,621)
Cash and cash equivalents, beginning of period	4,808	15,250
Cash and cash equivalents, end of period	\$ 2,269	\$ 4,629

Acadian Timber Corp.
Reconciliations to Adjusted EBITDA and Free Cash Flow

(unaudited)

<i>(CAD thousands)</i>			
<i>Three Months Ended</i>		March 28, 2026	March 29, 2025
Net income		\$ 3,471	\$ 3,659
Add / (deduct):			
Interest expense, net		1,096	816
Income tax expense		1,397	1,522
Depreciation and amortization		478	236
Fair value adjustments and other		(1,664)	(1,554)
Adjusted EBITDA		\$ 4,778	\$ 4,679
Add / (deduct):			
Interest paid on debt, net		(1,068)	(897)
Mandatory debt repayments		(156)	(54)
Capital expenditures		(81)	(542)
Loss / (Gain) on sale of timberlands and other fixed assets		8	(22)
Proceeds from sale of timberlands and other fixed assets		7	423
Current income tax expense		(1,015)	(577)
Free Cash Flow		\$ 2,473	\$ 3,010